Brazil Macro Monthly

Waiting for the runoff election

Highlights

- Signs of global disinflation have become increasingly clear. Tighter monetary conditions and persistent geopolitical risks may drive the global economy into a recession;
- The Brazilian economy remains on an upward trajectory, albeit at a more moderate pace and with sectoral differences. We continue to expect that GDP will grow 2.8% in 2022 and 1.0% in 2023;
- Global disinflation, tighter monetary policy, and tax cuts are expected to ease domestic inflationary pressures. We project IPCA ending 2022 at 5.6% and 2023 at 5.2%;
- Public accounts remain positive but will be under pressure in 2023. A credible expenditure framework will be key to anchoring expectations of fiscal sustainability in the coming years;
- The BRL has performed remarkably well, considering the strong dollar trend globally. The balance of payment remains healthy. We continue to forecast the exchange rate at 5.0 reais per dollar in 2022 yearend, and 5.3 in 2023;
- The CB interrupted its tightening cycle and kept a hawkish tone. We expect the Selic rate at 10.00% next year, but the room for monetary easing will crucially depend on the new fiscal anchor.

Caio Megale
Chief economist

Alberto Bernal
Chief Global & EM Strategist

Andres Pardo
Chief Latam Strategist

Rodolfo Margato
Economist

Tatiana Nogueira
Economist

Tiago Sbardelotto
Economist

Francisco Nobre
Economist

Maria Jordão
Intern

Alberto Silva
Intern

Contact
economiaxp@xpi.com.br

XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.8	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.2	8.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.6	5.2
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.8	-0.7
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.2	84.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	50.5	54.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	336.0	329.0
Imports (USD Bn)	185.3	185.9	158.8	219.4	285.5	275.0
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-37.5	-46.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-2.0	-2.3
FDI (USD Bn)	78.2	69.2	44.7	46.4	79.5	77.0
FDI (% GDP)	4.1	3.7	2.9	2.9	4.3	3.9
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.86	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.53	10.09

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Fiscal transition amid global risks

From the perspective of economic policy, the first-round campaign brought limited news. Both president Bolsonaro and former president Lula signaled their intention to replace the constitutional spending cap as the main fiscal anchor, but it is unclear what comes next. Considering that Brazil still has an elevated debt and debt service, the fiscal policy guideline from 2023 onwards is critical for inflation expectations to fall and for the central bank to find space to reduce interest rates going forward.

The relatively tight first round result may pressure Lula to give more details on his economic plan and team, to attract the more moderated voters. President Bolsonaro, in turn, tends to reinforce the importance of the "Auxílio-Brasil" cash-transfer program to revert part of Lula's landslide advantage in the northeast region.

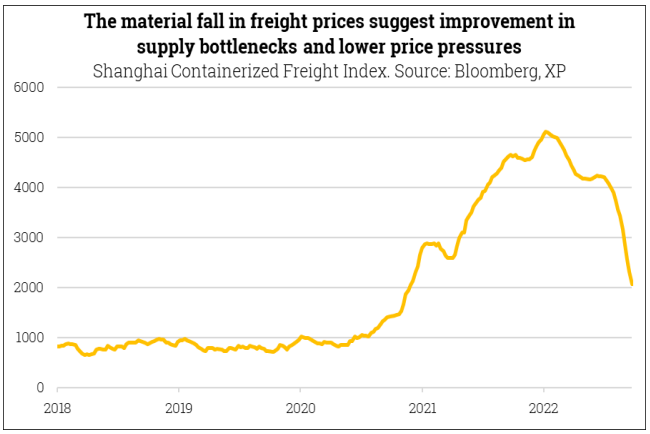
Still, for now, it is unlikely that much of the economic policy plans will be disclosed by either candidate.

In this background, markets tend to remain volatile. Especially with the rest of the world also bringing challenges. Will the Fed raise interest rates beyond the 4.6% signaled by the FOMC members´ September projections? On the one hand, inflation remains high, and the labor market is tight. On the other hand, there are initial signs that the rapid rise in interest rates could pose a risk to global financial stability. In Europe, uncertainty regarding energy supplies during the winter remains high. Moreover, tensions between China and Taiwan continue.

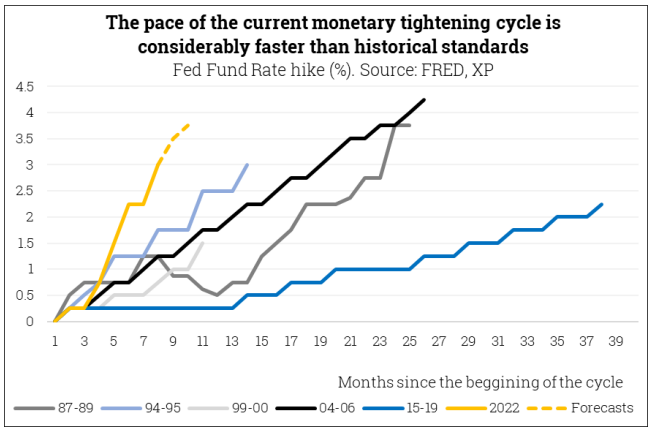
Current Brazilian economic indicators should remain positive, with solid growth, falling inflation, and healthy fiscal and balance of payments results. But this has limited importance amid global and local risks for 2023.

Global Backdrop: Global disinflation will not be painless

Signs of global disinflation have become increasingly clear. First, leading indicators, such as the GSCPI and the 60% fall in freight prices, suggests significant improvements in global supply chains. Second, commodity prices have eased considerably after a prolonged uptrend period. Despite our expectations that commodity prices will remain high due to persistent supply pressures, the recent adjustment eases inflationary pressures. Last, tighter monetary policy around the globe is expected to soften aggregate demand considerably. We believe that the combination of these three factors will alleviate price pressures considerably going forward, and the global economy should soon enter a disinflationary process.

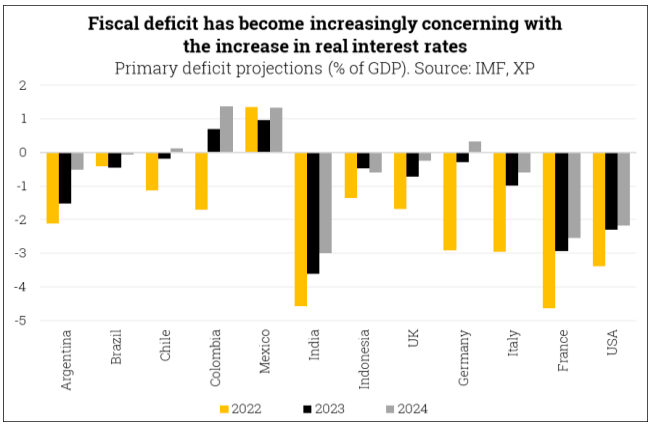


The Fed might have to force a recession in the US. The FOMC increased the Fed Funds rate by 75bps for the third consecutive time, marking an unprecedented tightening pace. We believe that if there is a positive surprise in the September inflation and labor market data, the Fed might find room to slow down the tightening pace and reach a terminal rate below the 4.5%-4.75% currently indicated by the "dots" projections. In that scenario, we believe that the US economy would slow down materially but not enter a recession, given that economic fundamentals remain solid. On the other hand, if negative surprises in the upcoming data force the Fed to take interest rates to levels currently priced by markets, the US economy would most likely enter a recession in 2023. In that scenario, we believe that US GDP would grow closer to 1.0% in 2022 and 0.5% in 2023.



XP Projections: GDP Growth (%)		
	2022	2023
USA	1.5	1.4
Euro Area	2.9	-0.4
China	3.2	5.6

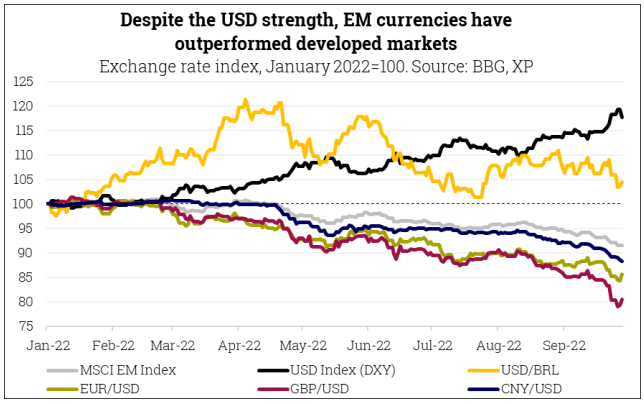
The European economy shows emerging market characteristics. Inflation hit double digits in September, reaching yet another record high. Economic activity in the region is expected to weaken considerably amid lower purchasing power, tighter financial conditions, and ongoing geopolitical uncertainties. Moreover, the energy crisis in Europe is having a deleterious impact on fiscal accounts, which will be particularly concerning going forward as real interest rates increase. Consequently, currencies in the region have weakened considerably, which may also drive imported inflation. The UK was the highlight this month, and the GBP depreciated almost 10% in September against the USD, reflecting increased recession risk, fiscal uncertainty, the expectations that inflation will continue to rise, and a less hawkish central bank. In all, high-frequency indicators suggest that European economies will face a difficult period of contraction, high inflation, currency depreciation, and a deteriorating fiscal outlook.



China´s growth remains modest. The latest data on the Chinese economy was mainly bearish, suggesting continued slowdown amid weakness in the property markets and the persistence of Covid-19 lockdown policies. We reiterate that inflation stands at low levels, allowing monetary and fiscal policies to remain expansionary. We believe that economic activity will pick up towards the end of the year, and China´s GDP will grow by 3.2% in 2022 and 5.6% in 2023.

Nevertheless, growth will remain hostage to pandemic-related policies and stimulus measures, and without these impulses, China would grow closer to 1.5% in the next two years.

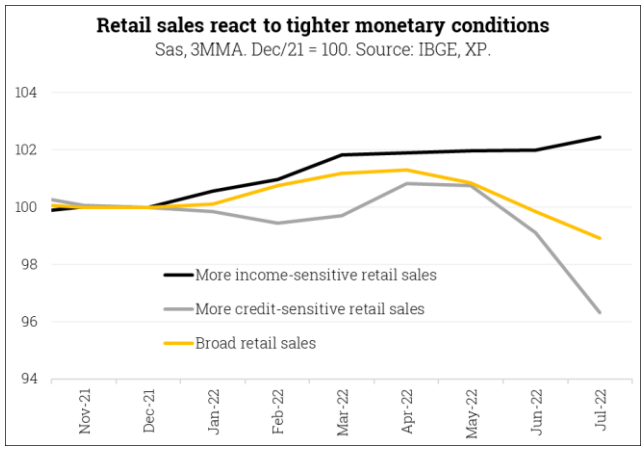
Latin American assets continue to show strong resilience despite global uncertainties. Despite the dollar appreciating significantly due to increased risk aversion, Latam currencies have outperformed other reference currencies, especially the EUR, the GBP, and the CNY. The region continues to benefit from high commodity prices, high interest rate differentials from the US, and cheap valuations.



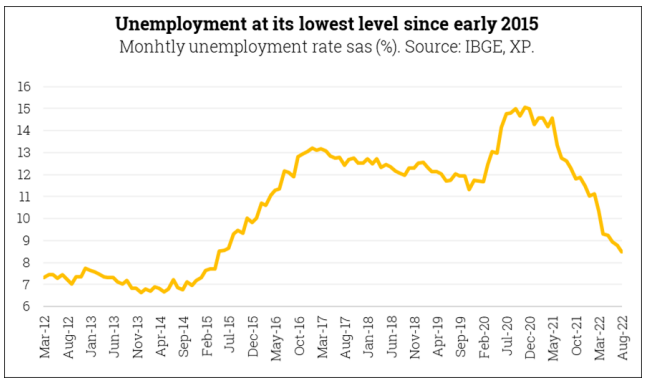
Brazil: Waiting for the runoff elections

Economic Activity – Continued growth, albeit more moderately

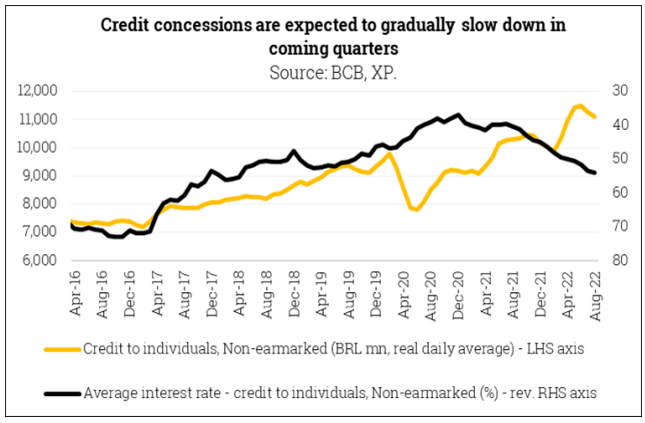
Brazil's GDP is expected to show further increase in Q3, but there are signs of deceleration. The domestic economy remains on an upward path, with important sectoral differences. On the one hand, many service activities still benefit from the normalization of mobility and household consumption patterns, particularly in food, accommodation, tourist segments, transportation, and corporate/social events. Furthermore, the improvement in global supply chains allows for a gradual recovery of the industrial sector since the beginning of the year, after a long period of contraction. On the other hand, retail sales have weakened in recent months, especially for the most credit-sensitive goods. Tighter monetary policy and high household indebtedness have weighed more heavily on durable and semi-durable goods (e.g., vehicles; furniture and household appliances; building materials). For now, we estimate an advance of 0.5% QoQ for Q3 GDP (3.5% YoY).



Labor market indicators remain the protagonists. The net creation of formal jobs has positively surprised in the recent period, with widespread improvement across sectors and types of occupation. According to our calculations, the monthly unemployment rate is currently at 8.5%, around 3pp below the levels recorded just before the pandemic. Real wages have resumed growth, owing chiefly to the falling jobless rate and easing short-term inflation, despite remaining nearly 5.5% below the numbers seen at the end of 2019. The recovery in the labor market in tandem with additional fiscal stimulus – especially the higher monthly benefit of the 'Auxílio Brasil' welfare program – will likely maintain the household disposable income on the rise, a significant counterweight to the deterioration of financial conditions.



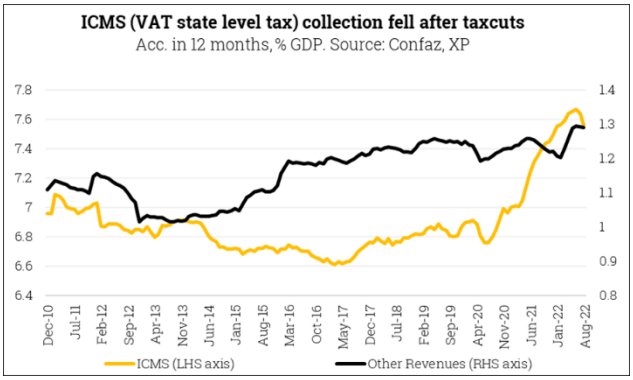
We continue to expect that total GDP will expand by 2.8% in 2022. In addition to the 0.5% QoQ advance in Q3, our base case considers a slight gain of 0.2% QoQ in Q4. Economic activity indicators released in recent weeks have reinforced the prognosis of a mild slowdown over the second half of the year. Based on these quarterly forecasts, the statistical carryover effect for next year's GDP would be positive by 0.7pp.



For 2023 GDP growth, our projection remains at 1.0%. We believe that the Brazilian economy will grow modestly next year. The impact of the contractionary monetary policy on local demand should be more noticeable in the coming quarters, leading to a weaker dynamic in consumption and investment. Greater risk aversion and worsening global economic activity (with growing concerns about recession in key regions) will likely be strong headwinds in 2023. Despite that, we do not anticipate a recession in the coming quarters. Confidence indicators remain at high levels, which reduces the likelihood of a sudden stop in the short term. In addition, local sectors less sensitive to the economic cycle, such as the mining industry and, above all, agriculture, should grow significantly in the period.

Fiscal – New framework will be key

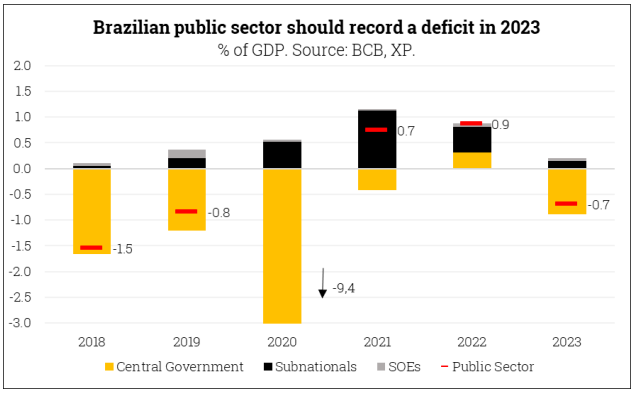
The outlook for 2022 remains positive. Despite the one-off deficit in August, we expect a surplus of BRL 30.1 billion (0.3% of GDP) for the central government this year. For the consolidated public sector, we estimate a BRL 85 billion surplus (0.9% of GDP).



We expect expenditures to accelerate next year, pushing the primary balance back to negative territory. As we have discussed in our last reports, there will be a need to accommodate up to BRL 165 billion in additional expenses, such as the extension of Auxílio Brasil (BRL 60 billion) and readjustments to public servants (BRL 32 billion), which will require a review of the spending cap in the amount of BRL 140 billion.

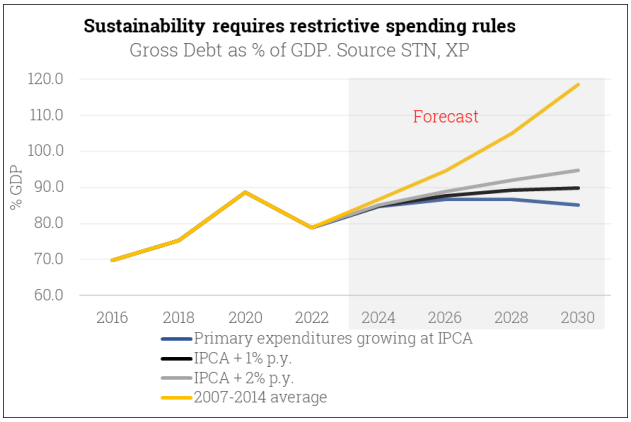
Thus, we maintain our 2023 deficit scenario for the Central Government at BRL 91.0 billion (-0.9% of GDP).

The consolidated public sector (Central Government, States and Municipalities and State-owned companies) should also worsen in 2023. The fall in the ICMS tax collection verified in August should continue in the coming months and will affect revenues throughout 2023. As a result, we estimate a significant decrease in the primary balance of subnational governments, which will fall to 0.2% of GDP. In aggregate, the public sector should reach a deficit of BRL 70 billion, or 0.7% of GDP.



Debt-to-GDP ratio to resume its upward trend. The positive primary result in 2022 should reduce the General Government Gross Debt (GGDB) ratio to 79.2%. But from 2023, with the increase in expenses due to the change in the spending cap rule and the higher nominal interest, the public debt should grow again.

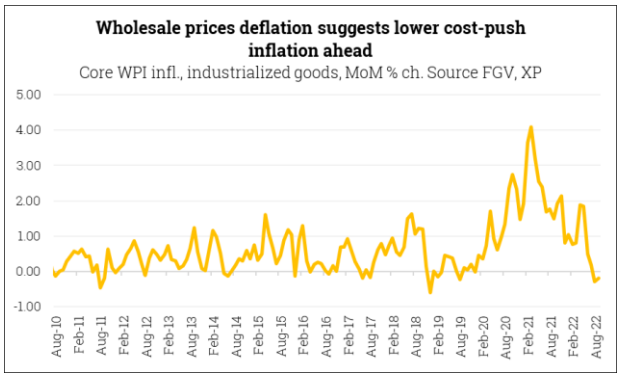
Fiscal policy in the coming years remains uncertain. With the presidential election undefined, decisions regarding what should be the expenditure level in the 2023 budget and, especially, the framework of fiscal rules for the coming years remain unclear. The challenge is to design a new fiscal anchor that accommodates new expenditures but offers debt sustainability in the following years.



The balance of public accounts in coming years requires a rigid spending rule. In our simulations, after incorporating an initial level adjustment for 2023, there will be little room for real expenditure growth in the coming years. In fact, expenditure growth north of 1% in real terms is sufficient to keep debt-to-GDP ratio on the rise for the next decade. An increase in the tax burden to finance higher spending can be counterproductive, given the adverse effects on economic growth.

Inflation – Better dynamics for 2022 and 2023

We revised our 2022 IPCA forecast from 6.1% to 5.6%. September Mid-month IPCA-15 inflation came out below expectation, with clear deceleration on industrial goods and underlying services. Moreover, wholesale prices are falling, suggesting lower cost-push CPI inflation ahead.



Industrial goods inflation, which has risen 26% in the past two years, shows signs of moderation. Global supply chains have been normalizing, as demonstrated by the New York Fed indicator and the recently published Central Bank for Brazil indicator. The fall in domestic energy and fuel prices reinforces lower cost pressures. There are also signs of deceleration on the demand side.

Due to the lower inertia, we have adjusted the 2023 forecast from 5.3% to 5.2%. We strongly believe in global disinflation in 2023, due to tighter monetary policy in developed countries and the normalization of production chains. Food and industrial goods will be the groups that benefit most from this process.

Service inflation should remain high, keeping the IPCA above the upper bound of the target range. We project a 6.2% rise for the group in 2023. Regarding the labor market, real growth of the disposable income and a more gradual deceleration of the economy contribute to this scenario of persistent price pressures in the first half of next year, despite tighter monetary conditions.

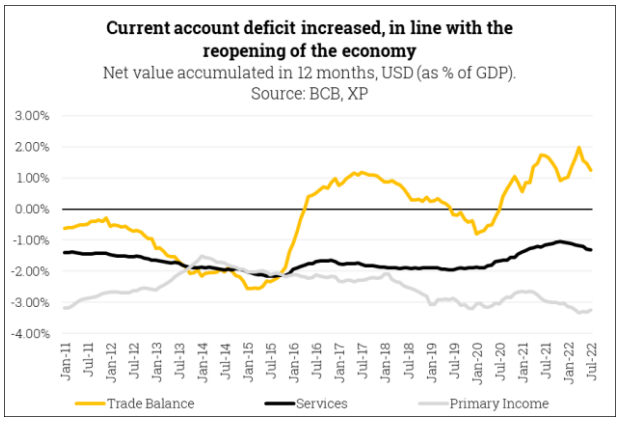
Another headwind for 2023 disinflation will be administered goods prices. We expect federal taxes on fuels to be restored, considering its intense impact on fiscal dynamics (BRL 55 billion). According to our estimates, the impact of this measure is -0.50pp on the IPCA. Medicines, health insurance and public transportation costs are also expected to increase materially next year. All in all, we forecast administered prices inflation at 7.6% in 2023.

IPCA forecast (YoY % ch.)

2022	Variation	Contribution
IPCA	5.6	5.6
Food at home	10.4	1.5
Services	8.8	3.1
Industrialized goods	9.2	2.2
Administered prices	-4.4	-1.1
2023	**Variation**	**Contribution**
IPCA	5.2	5.2
Food at home	3.5	0.5
Services	6.2	2.2
Industrialized goods	2.0	0.5
Administered prices	7.6	2.0

External Sector – BRL holding up well considering strong-dollar trend

The BRL, as most currencies, has been highly volatile. It weakened in September but pulled back to around 5.15 reais per dollar after the first round of the elections. As a result, the BRL is now some 8% stronger than in December last year. It is a remarkable performance, considering the US dollar is almost 20% up against major currencies (see chart in the global backdrop session above).



We maintain our forecast of BRL/USD 5.00 at the end of 2022. Our scenario incorporates some reduction in risk premiums after the elections, as well as clearer outlook for monetary policy in developed markets. For 2023 yearend, we project BRL/USD 5.30.

The current account deficit widens gradually, while foreign investment accelerates. The current account deficit reached USD 36.6 billion in the accumulated 12 months until July (-2.1% of GDP) after closing 2021 at USD 27.9 billion (-1.7% of GDP). In the financial account, the direct investment liabilities accumulated a surplus of USD 65.6 billion (3.7% of GDP) in the accumulated 12 months, a 46% increase relative to the

same period in 2021 (USD 44.9 billion), and performance well above projections at the beginning of the year.

FDI inflows should continue to comfortably finance CA deficits. We project the current account deficit at USD 37.5 billion in 2022 (-2.0% of GDP) and USD 46.0 billion in 2023 (-2.3% of GDP). FDI inflows should sum USD 79.5 billion this year (4.3% of GDP) and USD 77.0 billion next year (3.9% of GDP).

Monetary Policy – A credible fiscal anchor would allow rates at 10% by 2023 yearend

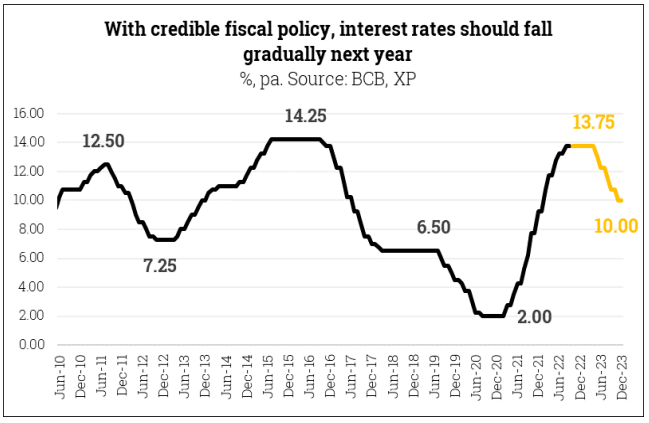
The Copom interrupted the tightening cycle that started in March 2021, keeping a hawkish tone. The committee said that monetary policy is already at a significantly restrictive level but pointed out that it would "not hesitate to resume the tightening cycle if the disinflationary process does not proceed as expected."

Inflation expectations have eased, reinforcing Copom's decision to wait and see. According to the Focus survey, the 2022 and 2023 IPCA forecasts have been declining almost continuously since early August. The 2024 forecasts have edged up, but in that case, we believe it is more related to medium-term fiscal uncertainties than monetary policy management.

Global disinflation should help the Copom in its task. Monetary policy is adjusting fast in the western world, and global supply chains seem to be normalizing. Thus, from both demand and supply reasons, global inflation should decline in 2023.

Thus, we keep our scenario that the Selic rate will remain at 13.75% until June and decline to 10.00% by 2023 yearend.

Monetary easing, though, depends crucially on the new fiscal anchor. Both presidential candidates have signaled changes in the spending cap for next year. Considering Brazilian debt and debt service remain elevated, we consider a new (and credible) fiscal anchor a key condition for inflation expectations to converge to the target path.



XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.8	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.2	8.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.6	5.2
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.8	-0.7
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.2	84.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	50.5	54.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	336.0	329.0
Imports (USD Bn)	185.3	185.9	158.8	219.4	285.5	275.0
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-37.5	-46.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-2.0	-2.3
FDI (USD Bn)	78.2	69.2	44.7	46.4	79.5	77.0
FDI (% GDP)	4.1	3.7	2.9	2.9	4.3	3.9
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.86	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.53	10.09

Source: IBGE, BCB, Bloomberg, XP.

Disclaimer

This material was prepared by XP Investimentos CCTVM S.A. ("XP Investimentos" or "Company") and should not be considered as a research material for the purposes of article 1° of CVM Instruction 598/2018. All opinions, projections and estimates constitute the judgment of the author as of the date of transmission and these, plus any other information contained herein, are subject to change without prior notice. The Company does not support or oppose any political parties, political campaigns, candidates,or public officials. Furthermore, XP Investimentos is not permitted to give corporate funds, property or other resources to political parties or candidates and will not reimburse any shareholders, directors, officers, employees, and licensors for such contributions or expenditures. XP Investimentos and its affiliates, parents, shareholders, directors, officers, employees, and licensors will not be liable (individually, jointly, or severally) to you or any other person as a result of your access, reception, or use of the information contained in this communication. Past performance is no guarantee of future results. Therefore, nothing in this report constitutes a representation that any investment strategy or recommendation contained herein is suitable or appropriate to a recipient's individual circumstances or otherwise constitutes a personal recommendation. This report is published solely for information purposes, it does not constitute an advertisement and is not to be construed as a solicitation or an offer to buy or sell any securities or related financial instruments. This material (including any attachments) is confidential, may contain proprietary or privileged information and is intended for the named recipient(s) only.